

**BEFORE THE
FEDERAL MARITIME COMMISSION**

Docket No. 21-17

**OCEAN NETWORK EXPRESS PTE. LTD. AND OCEAN NETWORK
EXPRESS (NORTH AMERICA), INC. - POSSIBLE VIOLATIONS OF 46
U.S.C. § 41102(C)**

RESPONDENTS' STATUS REPORT

The Parties have filed a joint motion for additional time, with which Respondents obviously agree and ask the Presiding Officer to grant. If the motion is granted, the Parties will immediately resume attempts to agree on a joint proposed schedule, or at least minimize the differences between them. This Status Report addresses Respondents' position as to what the schedule should be *if* the joint motion is denied. In that respect, BOE and Respondents have initially proposed separate schedules that agree in some parts and diverge in others. Time did not allow more than a brief opportunity for the Parties to reconcile their differences, so each is filing a separate Status Report expressing their respective views.

Respondents and BOE have respectively proposed the following schedules:

RESPONDENTS' PROPOSED SCHEDULE

March 11, 2022	Parties to submit joint stipulations of fact
March 18, 2022	Deadline for service of Parties' Initial Discovery Requests
April 4, 2022	Responses to Initial Discovery Requests and Joint Status Report
April 25, 2022	Last Day to Serve Discovery Requests

May 2, 2022	End of Discovery
May 23, 2022	BOE's brief, findings of fact, and appendix deadline
June 13, 2022	Respondents' brief, findings of fact, appendix, and response deadline ¹

BOE's PROPOSED SCHEDULE

March 11, 2022	Parties to submit initial joint stipulations of fact
March 15, 2022	Deadline for service of Parties' Initial Discovery Requests
March 30, 2022	Deadline for Parties' Responses to Initial Discovery Requests
March 31, 2022	BOE's Expert Witness Report Deadline
March 31, 2022	Depositions to Commence
April 7, 2022	Depositions to Conclude
April 7, 2022	Last day to serve Discovery Requests
April 11, 2022	Parties file Joint Status Report and any additional joint stipulations of fact
April 15, 2022	Respondents' Expert Witness Report Deadline
April 22, 2022	End of Discovery
May 9, 2022	BOE's opening brief, findings of fact, and appendix deadline
May 24, 2022	Respondents' brief, findings of fact, appendix, and response deadline
May 31, 2022	BOE's reply brief deadline

Before addressing areas where the Parties' proposed schedules diverge, we wish to highlight areas of common ground. Both BOE and Respondents agree that the appropriate first step after the final Schedule is set is to discuss proposed stipulations of fact, with the aim of significantly limiting discovery. We each propose to submit agreed stipulations by March 11,

¹ We note that Respondents' proposed schedule extends past May 31. Respondents believe that this is the minimum time in which they can reasonably be asked to engage in discovery, present evidence, and rebuttal, and effectively make legal arguments and is thus necessary to meet the constraints of Due Process, the Administrative Procedure Act, and the FMC's own Rules.

allowing the Parties to reduce the scope of their initial discovery requests. We also agree on the deadline for initial discovery requests, and for responses thereto, as well as the dates for a second Joint Status Report and ending discovery.

We now turn to the areas where Respondents differ from BOE, including possible alternatives.

1. Expert Witness Reports. BOE proposes that its expert's report be due March 31. Respondents have no dispute with the date chosen by BOE, if expert testimony is to be used, but do not believe there is any need for either Party to retain experts. Although we understand BOE is contemplating an expert on the regulations and processes of Customs & Border Protection ("CBP"), we see no way that such evidence would be relevant, as nothing alleged or asserted in the Order of Investigation and Hearing ("Order") has anything to do with CBP Rules and such evidence would be well outside the scope of the Order. Respondents' claim against Greatway in the Texas Litigation was not based on any CBP rules or practices, which were nowhere referred to by Respondents. Rather, the claim was based on federal common law of maritime and admiralty.

It is not necessary, however, to decide this matter now. Should BOE decide that it wishes to present an expert witness, it can always ask at that point. Accordingly, Respondents propose that BOE's ability to present an expert be made contingent upon agreement of the Parties or grant of a motion by the Presiding Officer (in either of which cases, Respondents would be entitled to present a rebuttal expert. That would allow the Presiding Officer to decide if the testimony of the proposed expert is relevant and within the scope of the Order, and whether the expert is qualified as such.

Respondents do object, however, to the impossibly limited time they would be given to identify a rebuttal expert and have that expert review BOE's expert's report and prepare a report of his or her own. BOE counsel involved in this matter are experienced litigators, so we doubt even they believe 14 days (effectively) is a reasonable time.² If experts are to be used, which should be decided later, at least another week would be necessary.³

2. **Depositions.** BOE has not identified who they might wish to depose, and for what purpose. Although Respondents would send deposition notices if such discovery were included in the Schedule, they see no significant need for depositions, given the extremely tight schedule, and would be willing to forego them in the interest of time.

Moreover, the proposed schedule for depositions is entirely impractical, as we expect BOE would admit. As proposed by BOE, there would be five business days to conduct up to ten (theoretically 15) depositions. This is obviously not possible, even if there were no other logistical or other difficulties. But such practical difficulties are inevitable, especially with respect to personnel of Respondents.

First, BOE proposes that depositions begin the day after the Parties respond to initial discovery – arguably as little as nine hours after response. That is simply not feasible. To take a deposition or to defend (and prepare a witness for) one requires a prior opportunity to review and become familiar with the responses to written discovery. Indeed, questions about discovery

² We believe that this time was proposed by BOE only because it technically fits into an end date of May 31.

³ An extra week (to the end of discovery) would have no impact on the schedule. Since any opportunity for discovery requests would have already ended 15 days before.

materials typically account for the bulk of a deposition. Starting depositions on March 31 is thus out of the question as a practical matter.

Second, there are additional difficulties with respect to depositions of personnel from ONE or ONE NA. To the extent such persons are located in the United States, to our understanding the only persons with knowledge would be lawyers for ONE/ONE NA, so virtually all of the questions BOE might ask would be barred by the attorney-client privilege. As to ONE or ONE NA personnel located abroad, we doubt they would have factual information relevant to the allegations in the Commission's Order. And even if they did, the logistical difficulties would be significant, including the need for multiple language interpreters and for ONE/ONE NA Counsel to travel at risk to their health due to ongoing pandemic and quarantines in the foreign country, and the costs, which would rightfully be borne by BOE.

As with experts, however, it is not necessary for the Presiding Officer to decide now. There is no reason that depositions cannot be done by agreement of the Parties or motion to the FMC, which would also permit additional flexibility in scheduling them.⁴

3. **Briefing.** BOE's proposed schedule for submission of evidence/briefs gives it not only twice as many briefs as ONE/ONE NA, but also more than four times as many days to prepare them. As a practical matter, BOE could easily start preparing its opening brief and attachments today, as it knows its position and most of its case already. All it would need to do later is to supplement for matters learned in discovery and/or research.⁵ Assuming that BOE starts on

⁴ We appreciate that the schedule proposed by BOE accommodates the unavailability of Respondents' Counsel later in April, for which we are grateful. We in turn would make best efforts to broaden the dates for scheduling depositions, including if approved by the Presiding Officer somewhat after the date on which Discovery otherwise ends.

⁵ This is not fantasy, but litigation reality, learned in multiple proceedings before the Commission over the past 29 years.

Monday, March 7, 2022 (and has not started already), it would have 63 days to work on its opening brief; on top of this it would have seven days to prepare a reply brief – for a total of 70 days. Respondents, by contrast, would have one brief and a grand total of 15 days to respond to BOE – including preparation/organization of legal arguments, affidavits, and other evidence. If BOE is going to have 80 days for its opening brief, ONE/ONE NA should be entitled to at least 30 days to reply.

ONE and ONE NA also see no reason to give BOE an extra advantage by allowing it an additional opportunity to address the proposed facts identified by ONE/ONE NA, to which ONE/ONE NA would have no opportunity to rebut, no matter what BOE may say or add. There is nothing in the Commission’s Rules about briefing that give BOE such an advantage. If BOE is to be given another brief, so, in fairness, should ONE/ONE NA, of course, strictly limited to matters raised in BOE’s reply brief.

An alternative way to ensure fairness while saving time is to have simultaneous briefing, as has been done in numerous FMC proceedings.⁶ Under this alternative, opening briefs for both BOE and ONE/ONE NA would be due on the same day, as would the parties’ respective reply briefs. Each side would thus be treated alike, and the briefing period could be substantially shortened.

⁶ See, for example, Docket Nos. 06-11, 94-01, and 89-26.

DATED: March 4, 2022

Respectfully submitted,

/s/ Rebecca A. Fenneman

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CERTIFICATE OF SERVICE

I certify that on the 4th day of March, 2022, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission's Order of May 12, 2020.

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